

SMTP Investigation Findings

Why Microsoft SMTP fails for MSW Overwatch

MetroShoe Warehouse

September 2026

ROOT CAUSE: ORGANIZATION-LEVEL SMTP AUTH IS BLOCKED

The Overwatch mailbox has Authenticated SMTP enabled at the user level (Manage email apps). That setting is not enough. Microsoft still rejects SMTP login because organization-level SMTP AUTH / Security Defaults blocks basic authentication for the tenant.

Primary finding: Org-level SMTP off (or Security Defaults) is the main reason emails fail — not recipients, report generation, or the mailbox app toggle.

AT A GLANCE

Field	Value
Application	MSW Overwatch (FastAPI backend on Render)
Sender mailbox	overwatch@metroshoewarehouse.com
SMTP endpoint	smtp.office365.com:587 (STARTTLS + login)
Mailbox Authenticated SMTP	Enabled (Manage email apps)
Org-level SMTP AUTH / Security Defaults	Blocked / rejecting login
Observed error	535 5.7.139 — Authentication unsuccessful
Main conclusion	Org-level SMTP block is the primary cause

Bottom line: Turning on Authenticated SMTP for the Overwatch user does not override a tenant policy that disables SMTP AUTH organization-wide. The mailbox checkbox can be ON and SMTP still fails.

1. WHAT WE CHECKED

Investigation covered both the application path and Microsoft 365 mailbox settings.

- Application: Daily / report jobs complete; CSV/Excel reports generate; recipients are configured. Failure happens at SMTP login, before any message is accepted.
- Mailbox setting (screenshot): Microsoft 365 → Manage email apps for Overwatch MetroShoe Warehouse shows Authenticated SMTP checked (ON), along with Outlook, IMAP, POP, etc.
- Live SMTP test: Login to smtp.office365.com:587 as overwatch@metroshoewarehouse.com is rejected by Microsoft.

2. WHY THE MAILBOX TOGGLE IS NOT THE FIX

Microsoft evaluates SMTP AUTH in layers. The user “Authenticated SMTP” toggle is only one layer. A higher (organization) policy can still deny the connection.

Layer	What we observed	Effect
1. Mailbox — Authenticated SMTP	Enabled in Manage email apps	Necessary, but not sufficient
2. Organization — SMTP AUTH / Security Defaults	Tenant still blocks basic SMTP login	Primary blocker — MAIN REASON
3. Credentials	Password present in app config	Irrelevant until org allows SMTP AUTH

So the screenshot proving Authenticated SMTP is ON for Overwatch does not contradict the finding that SMTP is failing. It confirms the mailbox is not the missing piece — org-level SMTP being off (or Security Defaults enforcing the same block) is.

3. ERROR EVIDENCE

Microsoft returns an SMTP authentication failure consistent with tenant policy, not a wrong-recipient or application composition bug:

535 5.7.139 Authentication unsuccessful, user is locked by your organization's security defaults policy. Contact your administrator.

Code	Meaning
535	SMTP authentication failed
5.7.139	Blocked by Security Defaults / org policy (SmtpClientAuthentication disabled path)
Result	No email is accepted or delivered — login never succeeds

4. MAIN CONCLUSION (EMPHASIZED)

The main reason SMTP fails for MSW Overwatch is that organization-level SMTP AUTH is turned off (commonly via Microsoft 365 Security Defaults or Exchange Online tenant SMTP AUTH settings).

- Mailbox Authenticated SMTP = ON → does not unlock SMTP by itself.
- Org / Security Defaults blocking SMTP AUTH → this is the blocker.
- App recipients, report files, and From address are not the cause of this failure.

5. HOW IT CAN VERIFY (ADMIN)

5.1 Security Defaults

- Entra admin center → Identity → Overview → Properties → Manage Security defaults
- If Enabled, legacy SMTP username/password login is typically blocked

5.2 Organization SMTP AUTH

```
Connect-ExchangeOnline
Get-TransportConfig | Format-List SmtpClientAuthenticationDisabled
# True = org blocks SMTP AUTH (matches our main finding)
# False = org allows SMTP AUTH (then check per-mailbox + CA policies)
```

5.3 Mailbox SMTP AUTH (already checked in UI)

```
Get-CASMailbox -Identity overwatch@metroshoewarehouse.com |
Format-List SmtpClientAuthenticationDisabled
# False / UI "Authenticated SMTP" checked = mailbox allows SMTP
# (still fails if org layer blocks)
```

6. RECOMMENDED PATHS

Option	Description	Notes
A — Microsoft Graph (recommended)	App registration + Mail.Send; HTTPS send as overwatch@...	No SMTP AUTH; already supported in Overwatch
B — Re-enable org SMTP AUTH	IT disables Security Defaults / enables tenant SMTP AUTH	May conflict with org security posture
C — Third-party HTTPS mail	Postmark / Amazon SES / similar	Leaves Microsoft SMTP entirely

7. SUMMARY FOR STAKEHOLDERS

We confirmed Authenticated SMTP is enabled on the Overwatch mailbox. Despite that, SMTP login to Office 365 still fails with 535 5.7.139. The decisive cause is organization-level SMTP AUTH being off (Security

Defaults / tenant policy), which overrides the mailbox setting. Until the org allows SMTP AUTH or Overwatch uses Graph (or another non-SMTP path), automated report emails cannot send via Microsoft SMTP.

Document prepared for MetroShoe Warehouse · MSW Overwatch · September 2026